

# The effects of nonprofit brand equity on individual giving intention: mediating by the self-concept of individual donor

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- *Currently nonprofit organizations have to rely more on individual donors and less on the government for funding. Therefore, understanding the individual donor from the perspective of nonprofit has been of increasing interest to nonprofit marketers. In this research, the effects of nonprofit organizational brand equity and individual self-concept on individual giving intention were studied by using survey to selected 393 valid respondents in China. The empirical results indicated that, (1) the three dimensions brand personality, brand image, and brand awareness of the nonprofit organization has positive direct impact on individual giving intention; (2) brand personality and brand awareness of the nonprofit organization has positive direct impact on the self-concept of individual donor; (3) the self-concept of individual donor has positive direct impact on individual giving intention; and (4) the self-concept of individual donor mediates significantly the relationships between brand personality, brand awareness, and individual giving intention, while not significantly between brand image and individual giving intention.*

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## Introduction

Nonprofit services generally being called as “public” or “collective” products (Weisbrod, 1977), and their development mainly relies on the help of social donations. It is reported that there was 3–4 billion per year to develop nonprofit service (Ministry of Civil Affairs, 2008). Although this giving amount may show

the generous level of Chinese civics at a certain degree, lack of resources is still one of the barriers for further development of many Chinese nonprofit organizations (Wang and Jia, 2002). Moreover, cutting down of government financial support, changing of resource suppliers’ living styles and self-conceptions, limitation of resources, and aggravation of competition, which has been worsen the nonprofit organization’s resource plight. Zhang (2006), correspondent from Worker Daily by interviewing of Beijing Children’s Welfare Institution, relief stations, the Red

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Cross, and other charitable organizations, found there remained a great funding gap in the development of these organizations. The director from a relief station in Beijing (2006) said, "As charitable organization, relief stations are established throughout the nation, but for some local stations, governmental funding every year is merely 10,000 RMB while almost no personal donation received." However, some other nonprofit organizations in China, especially those with "China" or "Chinese" in title, raise more than ¥10 million or even billion per year from individual donations. For instance, in the year 2006, China Environmental Protection Foundation raised ¥11 million, China's Poverty Alleviation Foundation raised ¥83 million while China Charity Federation Foundation raised ¥130 million (China Network of Civil Society Organizations, 2008). According to the survey by Chen *et al.* (2007) from McKinsey, 85% existing donor resources are occupied by only 7% nonprofit originations holding support from governments, while the private nonprofits especially with the smaller size are very difficult to generate enough donations. Based on this phenomenon, we cannot help but ask why some nonprofits can raise huge individual giving resource while some others cannot? Why individual donors select to donate with certain nonprofits? And what are their intentions and basis of decision making in donation? In order to reveal confusions, there is a need to understand how nonprofits can better address the marketing practices that could be used to secure resources from donors.

In response to the resource challenges many nonprofits have increased their marketing and sales activities (Arnold and Tapp, 2003). Unfortunately, increased effort alone may not meet these recent challenges (Faircloth, 2005). It may be necessary to rethink, at a strategic and conceptual level, how to influence public opinion and support behavior regarding nonprofits. For instance, the Consultancy Interbrand Group recognized early on that nonprofits fail to utilize brand marketing and establish a foundation to help nonprofits develop branding strategies to meet

their resource challenges (Beardi, 1999). Morgan (1993) suggested consumers made their brand selection in accordance with their self-concept and this effected a lot in consumers mental and behavior processing. Thus as one type of consumers of nonprofits, donors must be influenced by self-concept also in their decision making of donation. However, does brand equity exist for nonprofits in China? If there is, what kind of correlations is there between brand equity and the giving intention of individual donors? And how does self-concept of individual donors influence on the correlations between the two variables? So far, very few researches have answered these questions. Additionally, there are many differences of traditional culture, perceptual habit and giving attitude, and other facets between Chinese and western context. Thus, it is necessary to introduce brand equity theory to nonprofit sector, and empirically study on the relationships between brand equity of nonprofits and giving intention of individual donors by measuring and distinguishing the construct of brand equity of nonprofit organization, then reveal the influences of self-concept on the relationship between brand equity and giving intention of individual donors in Chinese context.

## Literature review

### Brand equity in nonprofit sector

Early researches on brand equity mainly focused on customer goods and services in profit sector and governmental sector. Following with wildly accepting of consistent dimension of brand equity by scholars, brand equity with its conceptualization and measurements are extended to nonprofit sector.

In particular, the example set by a number of high-profile UK fundraising charities, which renamed and repositioned themselves in the early 1990s, greatly encouraged other nonprofit organizations to manage their images in a systematic manner. These high-profile charities achieved increases in income of upwards of 10% per annum following their

adoption of new images, but donors expect a professional approach to image management among fund-raising organizations (Tapp, 1996). Tapp also argued that an excellent charity image is a significant determinant of donation income, on the other hand, it influences donor preferences for charity brand choice, and then generates “halo effects” *vis-à-vis* a wide range of organizational activities.

In 21st century, scholars pay attention on mainly two topics. The first is to construct charitable image, including the linkages between image and reputation of charitable organizations, and how to form the reputation of charitable organization and so on. For instance, Madalena (2006) considered brand positioning and image development are important topics for any religious organization wishing to provide an effective service to the public, and then she analyzed how to position the brand and design the image for charitable organization through empirical research.

The second is to study on constructing of brand equity for a nonprofit. For example, Keller (2000) concluded 10 attributes of world-class brands and summed them up into brand report card (BRC) to help in accessing brand performance. Michael and Napoli (2003) using Keller's brand report card as a point of departure, this article describe the development of a reliable, valid, and generalizable multidimensional scale to assess nonprofit brand orientation, including interaction, orchestration, and affect, which have made an operational and expressional improvement of Keller's BRC. And after the introduction of brand orientation, scholars began to study on the differences of brand orientations for nonprofit and profit sectors, such as why it is difficult for many nonprofit organizations to take use of modern brand technologies and why they have been lacked compared with their business partners.

Overseas researches are mainly focused on brand strategies, and just few concerns with their brand equity. Mark (2005) explained building and rebuilding of brand equity for a nonprofit by case study. With brand equity, demand curve moves upward while cost curve

downward and as consequence, profits and customer surplus increase, thus brand equity becomes a measurement of demand curve moving and future cash flow. Beverly *et al.* (2005) researched on the role of brand personality in nonprofits giving. Faircloth (2005) had tested determinants of resource provider support decision based on brand equity perspective. Domestically, little research on brand equity can be found in Chinese journal databases. Therefore, this paper based on three dimensions of brand equity introduced by Faircloth, will test their influences on individual giving intention in China.

### Self-concept of individual donors

Self-concept is the cognitive or thinking aspect of self (related to one's self-image) and generally refers to “the totality of a complex, organized, and dynamic system of learned beliefs, attitudes, and opinions that each person holds to be true about his or her personal existence (Purkey, 1988)”. In theory of consumer behavior, self-concept is divided into five categories: ideal self, actual self, social self, ideal social self, and self-expectations. Thus, self-concept is considered as a system structure forming from interaction of social environment and individual mental behavior information such as temperament, personality, values, and social roles. Or, it is said to be acquired self-recognition based on psychological genes. Super (1984) suggested that self-concept included individual's self-esteem, his own understanding of the clarity, harmony, development, effectiveness, as well as personal interest of the capacity and potential of the development status, and so on. Chen (2007) applied this concept to researches like developmental psychology, social psychology, and educational psychology but merely consumer psychology or behavior. In China, few scholars studied on effects of congruence between brand equity and self-concept on consumer behavior, especially lack of research on roles this congruence to brand loyalty. Additionally, almost all the studies about

self-concept in the field of consumer behavior have been focused in profit environment, while donors' self-concept has not been paid enough attentions.

### Individual giving intention

Many researches support correlations between attitude and behavior while few studied on attitude of individual giving. Therefore, some authors have researched the impacts of demographic, socio-economic, and psychological variables on individual donation behaviors. Based on variables effects in individual choice of nonprofit organization, researchers divided these influential factors into extrinsic factor and intrinsic factor, where extrinsic factors refer to those existences independent from human beings, and intrinsic factors are the underlying motives for selecting to support a nonprofit organization (Sargeant *et al.*, 2006). In respect of the former, variables such as age, gender, income, social class, social norms, and the degree of religious conviction have all been shown to impact on donation behavior. Findings suggested these factors do effect on individual donation making. In respect of the latter, factors shown to be significant indicators of giving including empathy, sympathy, nostalgia, as well as feelings of fear, guilt, and other emotions. Sargeant (2007), based on literature reviews, summed up determinants of individual donations and also carried out many propositions from sources, external factors, motivation, and the process determining factor, output, personal characteristics, feedbacks, and other aspects. By reviews of existing literatures, the reasons about why individuals are willing to donate to a certain nonprofit have been empirically examined from a widely perspective (e.g., sociology, psychology, anthropology, economics, etc.).

Also, a variety of authors have begun to examine the role of the organization soliciting funds and more particularly, how donors perceive distinct facets of the organization or the "product" on offer. Authors such as Glaser

(1994) and Sargeant *et al.* (2001) have examined how donors perceive the management of the organization, its performance, and a variety of benefits that might accrue to the individual from giving. An empirical examination of the impact of these factors has yet to be attempted. This is an issue of considerable practical importance since these are variables over which fundraisers may exert some control. What is more, donation actually is an interactive selection process, and then it is imperfect to ignore impacts of recipient organizations on donor behaviors. It is, therefore, our intention to delineate the brand equity of the support of nonprofits, to explore the nature of the relationship between these and individual donor giving intention, and to discuss the mediating role of self-concept between two constructs, in order to help nonprofits effectively soliciting individual donations.

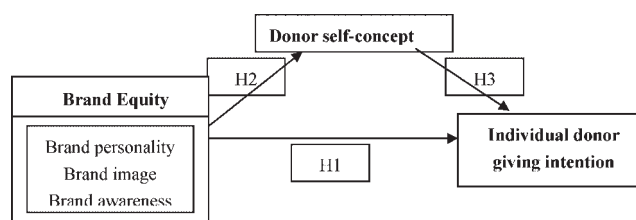
### Theoretical model and hypotheses

Actually, like the decision of purchasing certain commercial product, customer decision making of donation on which nonprofit a donor should elect to give will be influenced by nonprofit brand, because brand provides a uniqueness that can allow consumers to distinguish a nonprofit brand from competitors (Beverly *et al.*, 2005). Furthermore, only when a brand matches a donor's self-concept, these preference and intention are enhanced. According to Faircloth's (2005) research, nonprofit brand equity can be divided into three dimensions, including brand personality, brand image, and brand awareness. Therefore, conceptual model of this research can carried out as in **Figure 1**.

### Brand equity and individual giving intention

Brand personality often enhances customer preference (Aaker *et al.*, 2004). A brand personality that is strong, favorable, and/or





**Figure 1.** Conceptual model of effects of nonprofit brand equity on donor giving intention.

unique to the consumer legitimates the brand as partner and can result in more positive reciprocal exchanges (Fournier, 1998). Analogously, a nonprofit brand is perceived as a trustworthy partner or possesses an interesting background which allows donors to feel more comfortable with the brand and form brand preferences or intentions of giving.

Without a favorable brand image, it is unlikely the firm can create consumer purchase intentions or biased behavior (Kotler, 1997). Marketing researchers suggested brand image is a vital element of brand equity, and researches reported more positive brand image is positively related to willingness to pay premium prices and higher brand equity (Faircloth *et al.*, 2001). Communicating a brand image to resource providers is important, since identification with nonprofit targets and values is a significant contributor to positively biased support behavior toward the nonprofits by consumers (Smith, 1997). Therefore, donors inclined to donate to those nonprofits with strengthened brand image they perceived.

Rossiter and Percy (1987) claim brand awareness is the consumer's capability for recalling or recognizing from memory the subject brand in the product category. Top of mind awareness increases the probability of being chosen by the consumer, since a brand not considered will not be chosen. Bhattacharya *et al.* (1995) suggest marketing related campaigns help donors to comprehend and identify with the purpose of nonprofits. Thus, one would expect memory recall and greater organizational familiarity by individual donors to increase supportive behavior toward the nonprofit.

These lead to the following hypotheses:

*H1: There is a positive causal link between nonprofit brand equity and giving intention of individual donor.*

*H1a: There is a positive causal link between nonprofit brand personality and giving intention of individual donor.*

*H1b: There is a positive causal link between nonprofit brand image and giving intention of individual donor.*

*H1c: There is a positive causal link between nonprofit brand awareness and giving intention of individual donor.*

### Brand equity and donors self-concept

Individual donor's self-concept develops dynamically by self-judgment and external environment analysis. Changes come from two aspects: changes of self-conditions or self-cognize; on the other hand, individual original self-concept has been subjected to some challenges because of changes of external environment, such as new brand personality and brand images. Previous researches suggested that brand personality, the core component of brand equity, is strongly positively associated with customer self-concept. Sirgy (1982) indicated consumers preferred those brands by which their real selves and ideal selves were embodied. Zinkhan and Hong (1991) argued that for those products and brands which were used in public, the influence of ideal self-concept on the brand

selection is more than that of actual self-concept, while for those privately used products and brands, the result is reversed. Hawkins *et al.* (2007) pointed out for functional products consumers would match product images with their real self-concept, for symbolic products or those products referred with social status, customer would match them with their ideal self-concept. Cao (2005) claimed the brand equities of selecting products are significantly different among consumers with different self-concept. Behave-self consumers think much of “cool” and “brave” in brand personality, feeling-self consumers think much of its “elegant” and “kindness”, while mind-self consumers pay more attention to its “kindness.” The same logic can apply to “consumption” process of individual donors, so good conception of a donor to nonprofit brand equity may impact its self-concept. Thus, following hypotheses can be put forward:

*H2: There is a positive causal link between nonprofit brand equity and self-concept of its individual donors.*

*H2a: There is a positive causal link between nonprofit brand personality and self-concept of its individual donors.*

*H2b: There is a positive causal link between nonprofit brand image and self-concept of its individual donors.*

*H2c: There is a positive causal link between nonprofit brand awareness and self-concept of its individual donors.*

### **Individual donor's self-concept and giving intention**

With limitations of income and capabilities, individual donors are strongly influenced by self-concept in their giving intentions or behaviors. Sirgy (1980) found that there is middle level of correlation between consume behaviors and social self or ideal social self.

Onkvisit and Shaw (1987) suggested that self-concept is very important in studies of consumer behaviors since one's self-perception directly influenced his/her purchase process. For instance, if some one considers him or her self as a practical and self-controllable person, then he or she was possible to choose to purchase unfashionable dress. Morgan (1993) also provided empirical evidences to demonstrate that consumer behavior is rarely influenced by functional value of products but product image felt by consumers. That means, consumers choose brand following their self-concept, self-concept is strongly influential on consumer mentality and behavior. Individual donors are certain kind consumers for nonprofit organizations, so their giving intention in donation process should be obviously influenced by their self-concept. Donors are always with more positive attitude and strong giving intention to whose nonprofits with brand equity more congruence with their own self-concept. Then if individual giving intention is strengthened enough, donation will be solicited. This leads to the following hypothesis:

*H3: There is a positive causal link between the self-concept of an individual donor and his/her giving intention.*

Base on the evidences provided above, the following hypotheses also can be advanced:

*H4: There is a positive causal link between the degree of nonprofit brand equity and giving intention mediated by self-concept of individual donor.*

*H4a: There is a positive causal link between the degree of nonprofit brand personality and giving intention mediated by self-concept of individual donor.*

*H4b: There is a positive causal link between the degree of nonprofit brand image and giving intention mediated by self-concept of individual donor.*

*H4c: There is a positive causal link between the degree of nonprofit brand awareness and giving intention mediated by self-concept of individual donor.*

## Methodology

### Samples and data collection

In order to enlarge nonprofit marketing objects to those potential donors, we cannot sample not only those active donors but also on those potential and lapsed. Then, we sent our questionnaire randomly by QQ, e-mail, and also record their QQ number and e-mail address to avoid overlap. Thus, 1000 questionnaires are sent out while 516 answers are received during March–April 2008 in China. To make sure the respondents are with enough ability in judgment and perception, 88 of those whose age are less than 20 are thrown away. Then, in analyzing the kept samples, 35 could not distinguish from key nonprofits, so they are also eliminated. Thus, 393 samples are valid. Hair *et al.* (2006) suggested in those

regressions or SEMs with five or less constructs, 100–150 samples are acceptable. Therefore, 393 samples in this research should be suitable for regression analysis. And the total characters and coding of the samples in this research are shown in **Table 1**.

### Measures

Three constructs needs to measure in this research, including nonprofit brand equity, self-concept of individual donors, and individual giving intentions. Nonprofit brand equity was measured by three dimensions: brand personality (measured by a 4-item, 7-point scale), brand image (measured by a 4-item semantic differential scale) and brand awareness (measured by a 2-item, 7-point scale) developed by Faircloth (2005). Self-concept of donors was measured by a 7-item, 7-point semantic differential scale extracted from Malhotra's scales (1981). Individual giving intention was measured by a 4-item, 7-point scale developed by Sampath and Henley (2007).

**Table 1.** Basic characters and coding of the samples

| Demographic            | Value                  | Code | Sample |            |
|------------------------|------------------------|------|--------|------------|
|                        |                        |      | Number | Percentage |
| Gender                 | Male                   | 1    | 235    | 59.8%      |
|                        | Female                 | 2    | 150    | 38.1%      |
| Age                    | 20–24                  | 1    | 125    | 31.8%      |
|                        | 25–29                  | 2    | 112    | 28.4%      |
|                        | 30–34                  | 3    | 114    | 28.9%      |
|                        | 35–40                  | 4    | 28     | 7.2%       |
|                        | More than 40           | 5    | 8      | 2.1%       |
|                        | Ph.D.                  | 4    | 114    | 28.9%      |
| Educational background | Master (including MBA) | 3    | 97     | 24.7%      |
|                        | Bachelor               | 2    | 91     | 23.2%      |
|                        | Others                 | 1    | 83     | 21.1%      |
|                        | Less than 1000 RMB     | 1    | 64     | 16.2%      |
| Salary/per month       | 1000–1999 RMB          | 2    | 116    | 29.5%      |
|                        | 2000–2999 RMB          | 3    | 88     | 22.5%      |
|                        | 3000–3999 RMB          | 4    | 64     | 16.3%      |
|                        | Not less than 4000 RMB | 5    | 53     | 13.4%      |
|                        | Employee of firms      | 1    | 114    | 28.9%      |
| Occupation             | Government officials   | 2    | 99     | 25.2%      |
|                        | Teacher                | 3    | 80     | 20.3%      |
|                        | Student                | 4    | 77     | 19.5%      |
|                        | Others                 | 5    | 16     | 4.1%       |

### Assessing the measures

The results of our measurement can be only as good as our measures and we need to find out whether our measures are good and correspond to the underlying theory. We started testing our measures using factor analysis. The 21 items representing the five latent variables were subjected to exploratory (EFA) and confirmatory factor analysis (CFA). We ran EFA by using maximum likelihood factor extraction and oblique rotation. The five factors, which emerged accounted for 84.083% of the variance. All items loaded heavily on the hypothesized *a priori* factors.

All items had factor loadings of more than 0.6. All items were retained after the exploratory factor analysis. Next we proceeded to test internal consistency of our measures using Cronbach's  $\alpha$ . For all the measures coefficient  $\alpha$  was above 0.7 which suggested that the measures were reliable (see **Table 2**).

### Results

#### Correlation analysis and regression assumptions

**Table 3** shows the mean value, standard deviations, and Pearson correlation coefficients for each variable. As can be seen, self-concept is positively correlated with giving intention; individual donors' self-concept and their giving intention are positive correlated with nonprofit brand personality and brand awareness; and demographical variables are significantly correlated with brand image and brand personality, where education level is correlated with giving intention.

A regression model requires compliance with assumptions of normality, linearity, collinearity, and homoscedasticity. Normality of the standardized residual was tested with a Kolmogorov-Smirnov (Lilliefors Significance Correction) statistic. The results suggested

**Table 2.** Reliability and completely standardized loadings: confirmatory factor analysis

| Construct              | Item                                                     | Item loading | <i>t</i> value | $\alpha$ |
|------------------------|----------------------------------------------------------|--------------|----------------|----------|
| Brand personality (BP) | I would be proud to be associated with the nonprofit "X" | 0.63         | 5.61           | 0.75     |
|                        | The nonprofit "X" is an organization I would trust       | 0.72         | 6.23           |          |
|                        | The nonprofit "X" is different from other nonprofits     | 0.67         | 6.01           |          |
|                        | The nonprofit "X" has a rich history                     | 0.75         | 7.00           |          |
| Brand image (BI)       | Famous-Infamous                                          | 0.88         | 8.85           | 0.83     |
|                        | Valuable-Worthless                                       | 0.79         | 7.54           |          |
|                        | Large-Small                                              | 0.82         | 8.00           |          |
|                        | Excitable-Calm                                           | 0.84         | 8.04           |          |
| Brand awareness (BA)   | I will list the nonprofit "X" in the first recall        | 0.63         | 5.57           | 0.80     |
|                        | I am very familiar with the nonprofit "X"                | 0.85         | 8.41           |          |
| Self-concept           | Excitable—calm                                           | 0.61         | 5.36           | 0.87     |
|                        | Thrifty—Indulgent                                        | 0.88         | 8.98           |          |
|                        | Rational—Emotional                                       | 0.91         | 9.39           |          |
|                        | Pleasant—Unpleasant                                      | 0.62         | 5.42           |          |
|                        | Youthful—Mature                                          | 0.75         | 7.03           |          |
|                        | Orthodox—Liberal                                         | 0.72         | 6.23           |          |
| Giving intention (GI)  | Modest—Vain                                              | 0.93         | 8.46           | 0.89     |
|                        | Likely to donate to the nonprofit "X"                    | 0.83         | 6.09           |          |
|                        | Will donate to the nonprofit "X" next time               | 0.87         | 6.35           |          |
|                        | Will definitely donate the nonprofit "X"                 | 0.87         | 7.25           |          |
|                        | Will recommend others to donate to the nonprofit "X"     | 0.90         | 8.19           |          |

Goodness of model fit statistics:  $\chi^2/df = 1.48$ ,  $p = 0.00$ ; NNFI = 0.91, CFI = 0.93, IFI = 0.93, RMR = 0.079; RMSEA = 0.080, 90% confidence interval for RMSEA = 0.069–0.01.



**Table 3.** Means, standard deviation and intercorrelations between study variables

| Variables       | Mean | SD   | 1     | 2      | 3      | 4      | 5    | 6     | 7     | 8     | 9     |
|-----------------|------|------|-------|--------|--------|--------|------|-------|-------|-------|-------|
| 1. Gender       | 1.39 | .492 | 1.00  |        |        |        |      |       |       |       |       |
| 2. Age          | 2.33 | .616 | −1.22 | 1.00   |        |        |      |       |       |       |       |
| 3. Education    | 2.53 | .789 | .05   | .77**  | 1.00   |        |      |       |       |       |       |
| 4. Salary       | 1.94 | 1.39 | −.01  | .75**  | .78**  | 1.00   |      |       |       |       |       |
| 5. Occupation   | 3.33 | 1.23 | .08   | −.64** | −.60** | −.72** | 1.00 |       |       |       |       |
| 6. BP           | 4.43 | 1.09 | .36** | −.15   | −.14*  | −.11   | .01  | 1.00  |       |       |       |
| 7. BI           | 4.48 | 1.45 | .26*  | −.03   | −0.1   | −.11   | .04  | .65** | 1.00  |       |       |
| 8. BA           | 4.95 | 1.33 | .24   | −.13   | −0.5   | −.11   | .09  | .47** | .41** | 1.00  |       |
| 9. Self-concept | 4.30 | .87  | .24   | −.11   | −.13   | −.16   | .07  | .34** | .03   | .44** | 1.00  |
| 10. GI          | 4.74 | 1.20 | .11   | −0.4   | .14*   | .01    | .05  | .30*  | .23** | .39** | .36** |

Notes: \* $p < 0.05$ ; \*\* $p < 0.01$ .

normality ( $p > .05$ ). Examination of P-P Plot and scatterplot of each dependent variable. Self-concept and giving intention indicated a linear model. Although there are certain levels of correlations between dependent and independent variables, even some of the measure correlations reached .50, consideration of the collinearity diagnostics indicated no Condition Index greater than 20 or VIF less than 2.5; thus, collinearity was not detected (Hair *et al.*, 2006). Finally, a regression standardized residual *versus* regression standardized predicted value scatterplot revealed no non-random pattern of points, indicating homoscedasticity. Thus, it can be concluded the model met all regression assumption requirements.

Therefore, multi-regression analysis is adaptable in study on the effects of nonprofit brand equity on individual donors' self-concept and giving intention if impacts of demographical variables can be controlled.

### Hierarchical regression analysis

To assess support for mediation, hierarchical regression analysis was used to examine whether the self-concept of donor significantly affected the relationship between nonprofit brand equity and giving intention. If a significant relationship between nonprofit

brand equity and giving intention is eliminating or significantly reduced because of controlling for self-concept variable, which would indicate support for mediation. Therefore, self-concept and giving intention is selected as dependent variable respectively using hierarchical regression analysis, results are shown in **Table 4**.

### Relationship between nonprofit brand equity and individual donors' giving intention

When selecting regression equation of demographical variables and individual giving intention as benchmark model in Equation 2, regression equation was significant ( $F = 2.834$ ,  $Sig. = 0.004$ ) but only explained an additional 9.8 per cent of the variance in assessment of giving intention. After brand equity construct was introduced (see model 2), regression equation also was significant ( $F = 6.859$ ,  $Sig. = 0.000$ ). Additionally, a significant amount of incremental variance ( $R^2 = 0.240$ ) in individual self-concept was provided by the antecedents after controlling for demographics, thus regression is efficient. And the regression results presented in model 2 indicate that brand personality ( $\beta = 0.551$ ,  $Sig. = 0.005$ ), brand image ( $\beta = 0.515$ ,  $Sig. = 0.003$ ), and brand awareness ( $\beta = 0.334$ ,  $Sig. = 0.045$ ) can be identified as explanative variables in predicting individual giving intention significantly, therefore H1a, H1b, and H1c are supported.

**Table 4.** Hierarchical regression results of effects of nonprofit brand equity on individual donors' self-concept and giving intention

|                              | Equation 1 (self-concept) |                | Equation 2 (individual donor giving intention) |                |                     |                      |
|------------------------------|---------------------------|----------------|------------------------------------------------|----------------|---------------------|----------------------|
|                              | Benchmark                 | Model 1        | Benchmark                                      | Model 2        | Model 3             | Model 4              |
| <b>Demographics</b>          |                           |                |                                                |                |                     |                      |
| Gender                       | .245* (1.993)             | .127 (1.086)   | .071 (.567)                                    | -.045 (-.385)  | .046 (.357)         | -.033 (-.276)        |
| Age                          | .031 (.162)               | .028 (.162)    | -.274 (-1.409)                                 | -.206 (-1.197) | -.277 (-1.420)      | -.204 (-1.177)       |
| Education                    | -.135 (-.713)             | -.168 (-.982)  | .418* (2.188)                                  | .505** (2.942) | .431* (2.241)       | .489** (2.812)       |
| Salary                       | -.285 (-1.239)            | -.073 (-.349)  | -.004 (-.017)                                  | .085 (.400)    | .025 (.104)         | .077 (.364)          |
| Occupation                   | -.221 (-1.151)            | -.072 (-.404)  | .122 (.625)                                    | .325 (1.817)   | .144 (.729)         | .318 (1.768)         |
| <b>Independent variables</b> |                           |                |                                                |                |                     |                      |
| BP                           |                           | .368** (2.856) |                                                | .551** (2.919) |                     | .503** (2.412)       |
| BI                           |                           | .049 (.299)    |                                                | .515** (3.115) |                     | .510** (3.072)       |
| BA                           |                           | .460** (3.274) |                                                | .334* (2.048)  |                     | .289* (2.165)        |
| <b>Mediator</b>              |                           |                |                                                |                |                     |                      |
| Self-concept                 |                           |                |                                                |                | .285*** (3.482)     | .281*** (3.475)      |
| F statistics                 | 2.631                     | 3.796          | 2.834                                          | 6.859          | 5.283               | 14.230               |
| R <sup>2</sup>               | .118                      | .344           | .098                                           | .338           | .239                | .490                 |
| $\Delta R^2$                 |                           | .226           |                                                | .240           | .141P <sup>a</sup>  | .152P <sup>b</sup>   |
| $\Delta F$                   |                           | 6.649          |                                                | 11.062         | 3.123P <sup>a</sup> | 15.523P <sup>b</sup> |
| D.W. value                   |                           | 2.057          |                                                | 1.710          | 1.923               | 1.926                |

Note: <sup>a</sup> $\Delta F$  and  $\Delta R^2$  of model 2 report changes from benchmark model in Equation 2.

<sup>b</sup> $\Delta F$  and  $\Delta R^2$  of model 3 report changes from benchmark model 2.

\* $p < 0.05$ ; \*\* $p < 0.01$ ; \*\*\* $p < 0.001$  (2-tail).

#### *Relationship between nonprofit brand equity and individual donors' self-concept*

When selecting regression equation of demographical variables and individual self-concept as benchmark model in Equation 1, overall equation was significant ( $F = 2.631$ ,  $Sig. = 0.005$ ) and explained 11.8 per cent of the variance in assessment of self-concept.  $\beta$  coefficient of gender is 0.245 while  $p = 0.05$ , which shows female donors are more obviously in self-concept. When introducing nonprofit brand equity into regression model, regression equation is highly significant ( $F = 3.796$ ,  $Sig. = 0.001$ ). Additionally, a significant amount of incremental variance ( $R^2 = 0.226$ ) in individual self-concept was provided by the antecedents after controlling for demographics. Thus The regression results presented in model 1 show that individual self-concept was predicted by nonprofit brand

personality ( $\beta = 0.368$ ,  $Sig. = 0.008$ ), brand image ( $\beta = 0.049$ ,  $Sig. = 0.766$ ), and brand awareness ( $\beta = 0.460$ ,  $Sig. = 0.002$ ), which supported H2a, H2c, but rejected H2b.

#### *Relationship between individual donors' self-concept and their giving intention*

In model 3, overall individual giving intention was significantly influenced by their self-concept ( $F = 5.283$ ,  $Sig. = 0.000$ ). Additionally, a significant amount of incremental variance ( $R^2 = 0.141$ ) in individual giving intention was provided by the antecedent of self-concept after controlling demographics, which shows self-concept ( $\beta = 0.285$ ,  $Sig. = 0.001$ ) can be identified as explanative variable in explain individual giving intention, that is individual self-concept can improve its giving intention. Therefore, H3 is supported.

### *Relationship between nonprofit brand equity, individual donors' self-concept, and giving intention*

In model 4 of Equation 2, individual donors' giving intention was significantly influenced by the set of antecedents' variables ( $F = 14.230$ ,  $Sig. = 0.000$ ). Additionally, a significant amount of incremental variance ( $R^2 = 0.152$ ) in individual giving intention was provided by the antecedent of self-concept after controlling demographics and self-concept, which indicated self-concept entered the Equation latently was efficient independent variable since it explained 49 per cent of the variance in assessment of individual donor giving intention. By adding "individual donors' self-concept," standard beta coefficient of brand personality, brand image, and brand awareness were 0.503 ( $Sig. = 0.005$ ), 0.289 ( $Sig. = 0.035$ ), and 0.510 ( $Sig. = 0.003$ ), respectively. Comparing the results of Equation 1 with Equation 2, we can find all regression coefficients of nonprofit brand equity was significant at a certain level; however, their influences on giving intention have weakened obviously. From research on mediator by Reuben and Kenny (1986), we can validate that individual donors' self-concept has mediating effect on the relationship between nonprofit personality, brand awareness, and individual donors' giving intention, which supported H4a and H4c. However, in Equation 1, the effect of brand image on individual self-concept is not significant, then its mediating effect cannot be fully proved. And then Sobel (1988) test was employed, but it was not significant yet ( $Z = 0.344$ ). That means, there was no mediating effect of self-concept on brand image and individual giving intention. Hereby, H4b is not supported.

## **Conclusions and implications**

### **Conclusions and discussions**

This research collected 393 valid samples hierarchical regression analysis and employed by controlling of demographic variables to

discuss on relationships among nonprofit brand equity, individual donors self-concept and their giving intentions. Empirical results indicated that two dimensions of nonprofit brand equity—brand personality and brand awareness could strengthen individual donors' self-concept, which in turns influenced on individual giving intention directly and significantly. Also, three dimensions of nonprofit brand equity did not only impact individual giving intention indirectly through individual self-concept, but have also direct positive correlation on it. Besides H2b, H4b, other hypotheses are supported.

Fournier (1998) claimed a brand personality that is strong, favorable, and/or unique to the consumer legitimates the brand as partner and can result in more positive reciprocal exchanges. This logic is applied to nonprofit donor, because individual donors would feel more comfortable if they consider nonprofit brand equity as partnership reliable, and this would help in forming of brand preference and donation intention. At the meantime, Sirgy (1982) suggested that consumer brand preference would be strengthened if brand personality matched consumer self-concept. This research also proved brand personality's positive effects on individual giving intention and individual self-concept, and this was also consistent with research results by Beverly *et al.* (2005). This research also demonstrated individual donors' self perception or feeling orientation could be strengthened by brand personality, which in turns resulted in individual giving intention, then solicited their actual behaviors. This reveals mediating effect of self-concept between brand personality and giving intention.

Lauer (1995) contends a brand identity or image "... can communicate a certain distinctiveness that will have a positive effect on people's perception of a nonprofit organization." Communicating a nonprofit brand image to individual donor is important, since identification with nonprofit goals and values is a significant contributor to positively biased support behavior toward the nonprofits by consumers, which is also proved in this

research and is consistent with the findings by Faircloth (2005). Although nonprofit administrators should do their best to develop brand image, but brand image did not strengthen individual donors' self-concept, this may be because of influences from products, situations, and personal factors (Hawkins *et al.*, 2007). In the following three cases—products with symbolic value, consume situation in public, and as well as those people thinking a lot of others' considerations to themselves, brand image strengthened self-concept. However, individual's ongoing donation can be considered as a product with utility, and is mostly in personal consuming situation. Furthermore, those donors do not consider too much on the others' attitude. Therefore, effects of brand image on self-concept is uncertain, this provided some evidences to explain why H2b was not supported in this research.

Brand awareness, the consumer's capability for recalling or recognizing from memory the subject brand in the product category, helps to ensure the brand is available, either through recall or recognition for consideration in consumer decision making. And nonprofit brand awareness influence on individual self-attitude by enforcing them to consider on questions "how am I now," "what I expect to be," and "how I hope the others think about me." And cognition of these problems influences on individual donors' attitudes and behaviors. This also proves that brand awareness is positively related with self-concept and giving intention, and the mediating role of self-concept.

The findings add to the literature in three ways: (1) empirically apply the brand equity construct from for-profit sector to the nonprofit sector, and establish and examine the three dimensions of nonprofit equity; (2) The extant nonprofit brand equity literature is solely practitioner and nonprofit managers have occasionally been encouraged to implement brand equity models without empirical evidence; the decision making of resource constrained resource providers will be positively influenced; however, this research has revealed the influences each dimensional

antecedent of nonprofit brand equity on individual giving intention; (3) mediating effects of individual self-concept between brand equity and giving intention are suggested, and congruence between nonprofit brand equity and self-concept can form active giving intention is revealed.

### Implications and limitations

Firstly, the results of this study suggest the relevance of the brand equity construct as a tool for managers in nonprofit organizations coping with scarce resources. Specifically, the results indicated biased decision making by individual donors (nonprofit brand equity) can potentially be influenced by considering its antecedents, the personality, image characteristics of the organization, and how consumers are aware of the organization. This is important to nonprofit managers who spend approximately half their time trying to influence the decision making of increasingly constrained resource donors. It appears that management of the antecedents may be the essential benefit of the brand equity concept, and these brand equity antecedents require development and nurture by nonprofit managers. This research advances the potential efficacy and importance of integrating nonprofit brand equity and its components, also establishes the necessity of managing multidimensionality of nonprofit brand equity. Only concerning on one part is not enough, this is the necessary consideration for nonprofit administrators in designing marketing campaign.

Secondly, nonprofit administrators have to pay attention to the congruence of brand equity and individual donors' self-concept. This research introduces self-concept in empirical research on the effect of brand equity on giving intention, and explores the influences of brand personality, brand image, and brand awareness on individual self-concept. Development and cultivation of brand personality and brand awareness can improve self-cognition, and strengthen self-perception and feeling orientation, and then impact self-



attitude and behaviors. Additionally, clarity of donor's self-concept would influence directly self-orientation and decision making in donating process, while faintness of self-concept makes gap between self-attitude and self-actuality, which makes it hard to solicit donor's giving intention and behavior. Consequently, nonprofit administrators have to develop and cultivate brand personality and brand awareness matching with target consumers' self-concept in order to guide and attract individual donors to actively donate.

Though, important findings and implications are established in this research, there are still some limitations. For example, there are many different kinds of nonprofits, and their missions and values are also different, thus the attributes of social causes held by these nonprofits can influence donor preference, but this research has not added related variables to control or measure; secondly, feelings of individual donors' perception of nonprofit brand equity and their self-concept would vary with the development of their cognition abilities, experiences, and situation change. Furthermore, there is the heterogeneity among respondents. Therefore, this research using section survey data may not examine the intrinsic development of individual donor and differences of change among donors, further research should replicate our work employing longitudinal study to collect panel data to test the results in this research; additionally, in this research, every respondents answered questionnaire after reading of a short scenario, and this cannot be enough to ensure them to make most real choice. Influencing by traditional culture, utilitarianism, and other factors, samples tend to show their good side while hide the bad or deceptive side. Therefore, experimental method could be adapted to remove these manmade interferences.

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